

execute based on priority determined by price and time (price-time priority). Market orders routed to the specialist would transact with the best market prices in the limit order book. Buy market orders would transact with the lowest priced ask or offer in the limit book. Sell market orders would transact with the highest priced bid in the limit order book. If there were multiple “Bids” or “Asks” at the same prices, the orders which have been in the order book the longest amount of time transacted first.

NASDAQ listed (OTC) stocks traded in a market maker system. Each market maker would provide the market with their best bid and ask price and stand ready to transact the specified number of shares at the specified prices. Market makers, like the specialist, were required to maintain a stable and orderly market. Customers would enter orders with their brokers, who could also display these orders to the market as a customer limit order and have the shares and price shown in the quote. While price-time priority was still the rule for routed orders, brokers could transact with the market maker of their choice. Due to the fragmentation of the market surrounding multiple market makers, a market maker who just increased their bid price could receive an order over a market maker who has displayed that better price for a significantly longer amount of time. However, the competition surrounding multiple market makers led to better prices and a more efficient market—competition at its best. The equity markets are much different now compared to the days of the NYSE and a single specialist model, or NASDAQ with multiple market makers, even though parts of each still exist today. Now, instead of two trading exchanges, there are numerous trading venues. Currently, there are thirteen trading venues consisting of exchanges, alternative trading systems (ATS), and electronic communication networks (ECNs) also known as electronic crossing networks. At current count, there are in excess of thirty dark pools including third party and broker-owned internal dark pools which are used to match internal order flow.

Looking at the sheer number of potential venues shows that there could be an enormous amount of fragmentation and inefficient pricing if analysts and traders do not have a full understanding of how these venues behave and operate. This has further created the need for market microstructure analysts.

Going back to the circa 1995–2005 era, an important distinguishing characteristic between listed and NASDAQ companies was that listed companies were usually the larger, more established companies. They had strong balance sheets and a long history of earnings and dividends, they had lower price volatility, and more stable trading patterns, partly due to the role played by a single intermediary—the specialist. NASDAQ